

Instructor Answer Key – First-Class Group Activity

1. Common Indicators Students Might Identify: • Inflation rate and grocery prices • Unemployment rate and job availability • Housing affordability (rent, mortgages) • GDP growth or recession news • Interest rates set by the Bank of Canada

2. Common Economic Problems Students Mention: • High cost of living • Slow wage growth • Housing shortages and rent spikes • High interest rates affecting mortgages • Government debt concerns • Labour shortages in key sectors

3. Sample Problem + Solutions + Trade-offs:

Example Problem: High inflation is reducing household purchasing power.

Possible Solutions: • Bank of Canada raises interest rates to cool demand. • Government reduces spending to ease pressure on prices. • Temporary targeted transfers to low-income households.

Trade-offs: • Higher interest rates can increase unemployment. • Mortgage holders face higher payments. • Cuts in government spending reduce public services.

Example Problem: Housing affordability crisis.

Possible Solutions: • Increase housing supply via zoning reform. • Provide rental assistance. • Tax vacant homes or speculation.

Trade-offs: • Construction takes time; no quick fix. • Assistance may increase demand and push prices up. • Taxes may discourage investment.

Example Problem: Unemployment concerns.

Possible Solutions: • Expansionary fiscal policy (infrastructure projects). • Lower interest rates to encourage investment.

Trade-offs: • Expansionary policy may increase inflation. • Lower interest rates may weaken currency.

Instructor Use: These examples help guide discussion and highlight macroeconomic trade-offs without requiring technical tools.